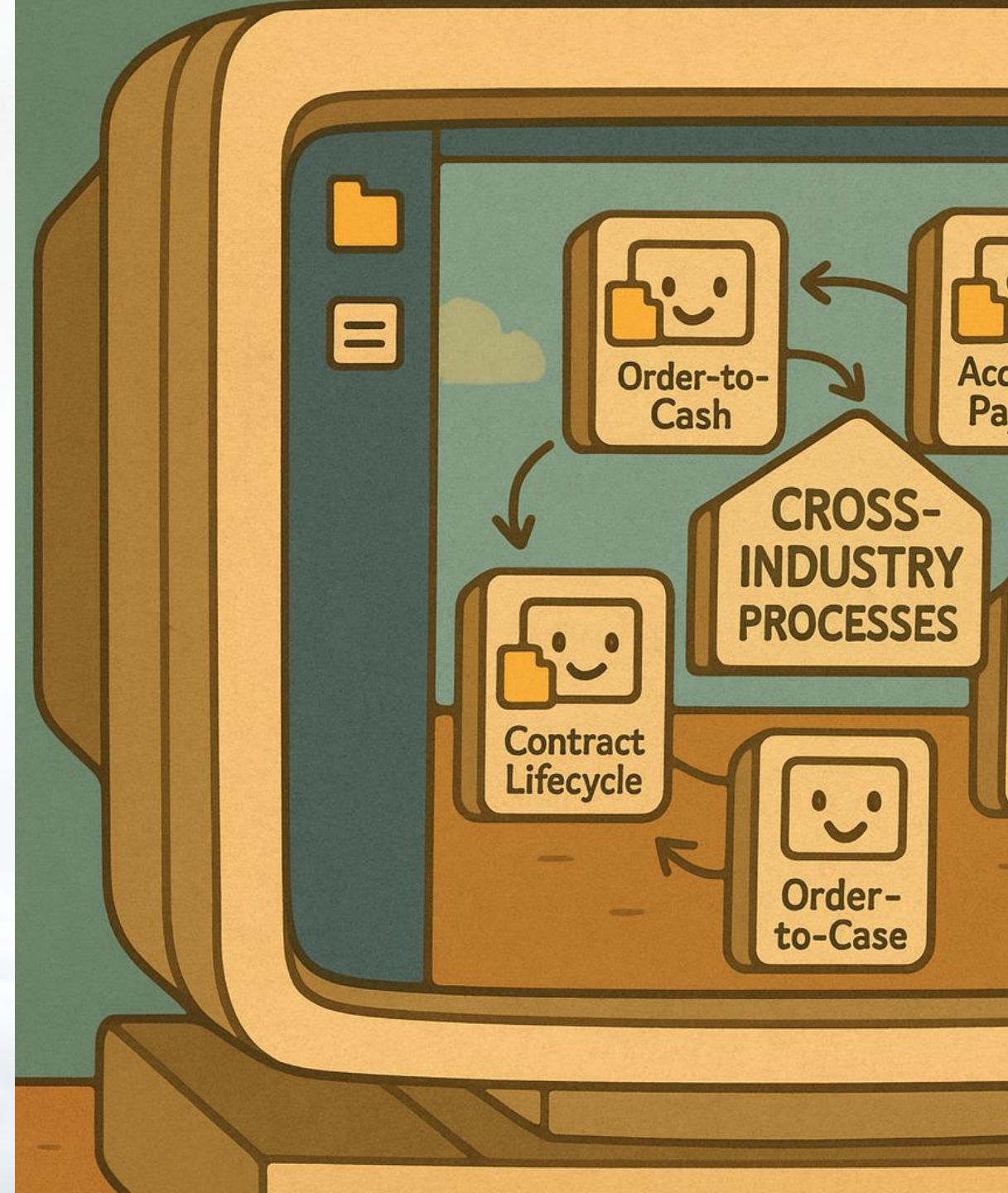




Cross-industry Apps that matter

Disclaimer: This content is for Microsoft partner guidance only and not to be shared directly with customers.



What is an AI frontier firm

→ The Frontier Firm Defined

A next-generation company that fuses human judgment with AI agents to scale faster, work smarter, and unlock new value - powered by on-demand intelligence and human + agent hybrid teams.

💡 Core Characteristics

- **AI-operated, human-led:** Agents execute tasks; humans provide oversight.
- **Work Chart vs Org Chart:** Teams form around outcomes, not departments.
- **Agent boss mindset:** Every employee manages and collaborates with AI agents.

L Why This Matters Now

- **82%** of leaders say 2025 is a pivotal year to rethink strategy and operations.*
- **80%** expect agents to be integrated into their AI strategy within 12–18 months.*
- Frontier Firms outperform peers in productivity, innovation, and speed to value

"As AI democratizes access to expertise and intelligence, we'll see the rise of Intelligence Resources departments -much like how HR and IT evolved into core functions. These new divisions will be essential for managing the interplay between humans and AI agents, emerging as a critical source of competitive advantage in the AI-enabled enterprise."

-Karim R. Lakhani, Chair of the Digital, Data, and Design Institute at Harvard,

[Microsoft Work Trends Index Report](#)

AI Apps that matter:

Build AI Apps that drive Frontier Transformation

Business Impact

Delivers clear, measurable value by solving a real problem aligned with user needs and organizational goals: high-value use cases

Innovative

Leverages cutting-edge agentic technologies and real time data to solve complex problems in ways that are innovative, adaptive, and often predictive or autonomous

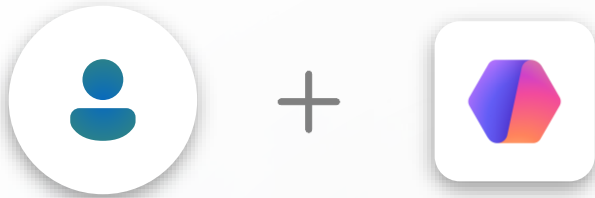
Enterprise-grade

Production-grade systems that are governed, secure, trusted, operationally stable, business-aligned, continuously optimized

Journey to the Frontier Firm

Phase 1

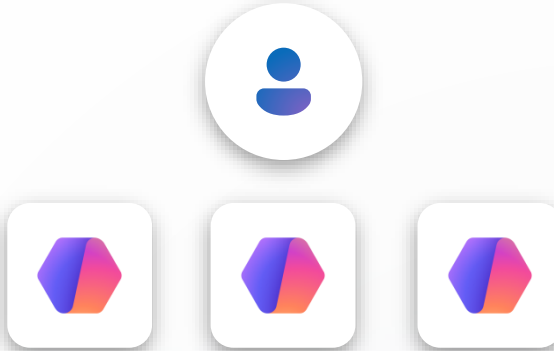
Human with assistant



Every employee has an AI assistant that helps them work better and faster

Phase 2

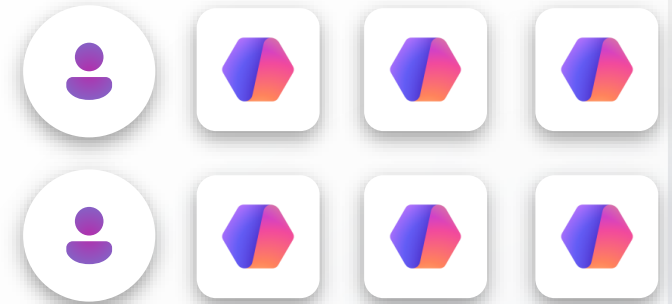
Human-led agents



Agents join teams as “digital colleagues,” taking on specific tasks at human direction

Phase 3

Human-led, agent-operated



Humans set direction and agents run entire business processes and workflows, checking in as needed

Becoming Frontier

Success framework

Enrich employee experiences

Reinvent customer engagement

Reshape business processes

Bend the curve on innovation



Approach



Adopt Microsoft copilot



Build in Copilot Studio



Build on Microsoft Azure

Guardrails on how to work with the suggested processes

See the whole process



Map the end-to-end flow, actors, policies, and desired outcomes

Call out where agents could take actions

Decompose into "agent-able" jobs



Prioritize by value $\times$ feasibility $\times$ data readiness

Define success metrics and guardrails; timebox the first increment

Select the starting "slice"



Break into sub-processes with clear inputs, decisions, actions, outputs

Create a data map: sources, owners, contracts, latency, quality

Build an enterprise-ready agent



Design for extensibility: APIs/events, modular tools, config over code

Safety & compliance: identity/permissions, policy/RAG, tracing

Scale along the chain



Add/compose agents, automate handoffs, integrate with systems of record

Track ROI; harden to repeatable IP and reuse components

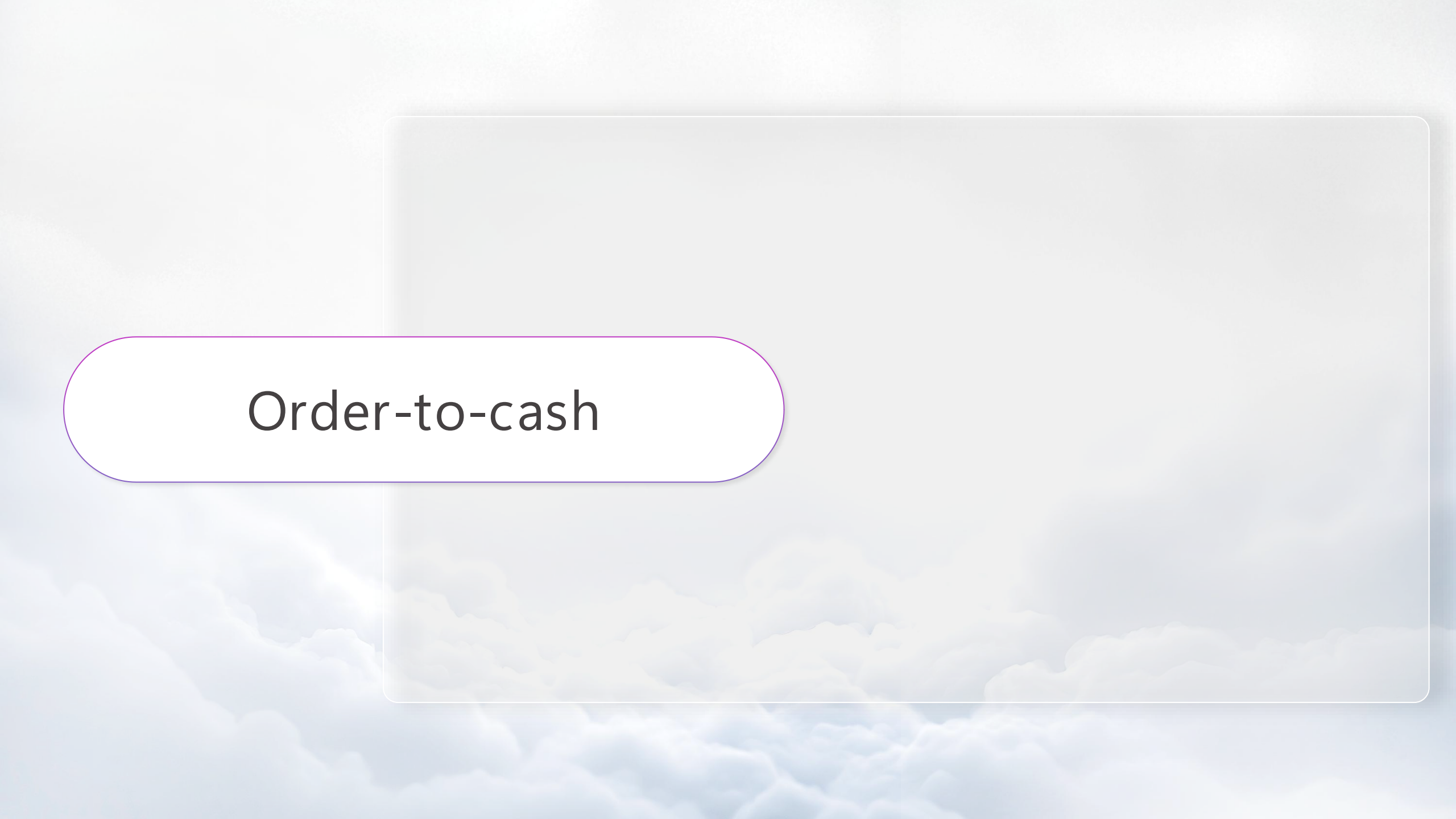
Ground rules: Agentic processes are a combination of multiple software solutions

Cross-domain frontier solutions

- | | | |
|---|--------------------------------------|--|
| 1 | Order-to-Cash process | Managing quotes, validating orders, handling fulfillment exceptions, invoicing, and collections across CRM/ERP and channels with event-driven workflows to accelerate cash and reduce leakage |
| 2 | Procurement & sourcing | Running demand intake, drafting RFx, assessing supplier risk, scoring bids, and handing off contracts across sourcing portals with guided reviews to shorten cycles and increase savings |
| 3 | Contact center operations | Leveraging the existing CCaaS for IVR/ACD/routing, handling ID&V, service requests (cards, payments, disputes) and complaints across phone/chat with agent-assist, workflows, auto-summary, and compliant follow-ups |
| 4 | Contract lifecycle management | CLM platform handles repository/e-sign; agents extract clauses, score risk, propose redlines, route reviews, and track obligations with compliant handoffs |
| 5 | E2E supply chain operations | Monitoring telemetry, triaging incidents, assisting code changes and security reviews, and coordinating response/postmortems across chat and ITSM with automations to remediate and document. |

Processes best suited for agentic automation

- High-volume, repeatable steps with clear rules and frequent exceptions
- Multi-system workflows needing data collection, validation, and handoffs
- Document-heavy tasks requiring extraction, matching, and structured records
- Time-sensitive activities with event triggers, reminders, and status monitoring
- Human-in-the-loop decisions where agents propose actions and capture approvals with full trace



Order-to-cash

1. Order-to-cash process

Order to cash automates the flow from quote to payment. It captures needs, configures and prices offers, validates orders, confirms delivery promises, resolves fulfillment exceptions, generates accurate invoices, and manages collections—accelerating cash, reducing revenue leakage, and improving customer experience.

What - Process overview



Current challenges

- Quotes differ by channel; manual pricing and discounts cause errors and revenue leakage.
- Orders arrive incomplete; addresses, taxes, and terms are validated late or inconsistently.
- Stock and delivery promises change; split shipments and backorders create confusion.
- Exceptions are handled by email and spreadsheets; customers lack timely updates.
- Invoices do not match orders; disputes and write-offs rise; cash application is slow.



Frontier solution

Process description

- Capture request and configure products or services; propose bundles with clear trade-offs.
- Apply pricing and discount rules; generate a quote and required approvals.
- Validate customer, credit, tax, and addresses; check availability and delivery dates.
- Create the order with clean data; route to fulfillment; monitor events end-to-end.
- Detect delays, substitutions, or partials; resolve and notify proactively.
- Issue accurate invoice; accept payment or set terms; reconcile and apply cash.

Solution description

Agents collaborate via events, share context, and hand off to humans for final sign-off:

- **Quote & Configuration Agent:** Gathers needs; configures offerings; applies pricing and discount rules; drafts quotes and approvals.
- **Order Validation & Promise Agent:** Verifies customer, terms, tax, and addresses; checks stock and delivery; commits the delivery promise.
- **Fulfillment & Exception Agent:** Monitors events; manages backorders, substitutions, and split shipments; coordinates proactive customer updates.
- **Billing & Collections Agent:** Generates invoices, applies taxes, accepts payments, manages disputes and reminders, and reconciles cash.

Why – Impact¹



Business Outcomes²

Cost savings:

- About 30–50% lower order entry and exception-handling cost through automation and fewer handoffs.
- About 40–60% faster cycle time from quote to invoice with cleaner data and approvals.

Growth

- Revenue leakage reduced by about 2–5% via controlled pricing, accurate invoicing, and chargeback prevention.
- Win rate and conversion improve by about 5–10% through faster quotes and reliable delivery promises.



Roles addressed

- Sales operations and order management leaders
- Finance or revenue operations leaders

How – Underlying foundation¹

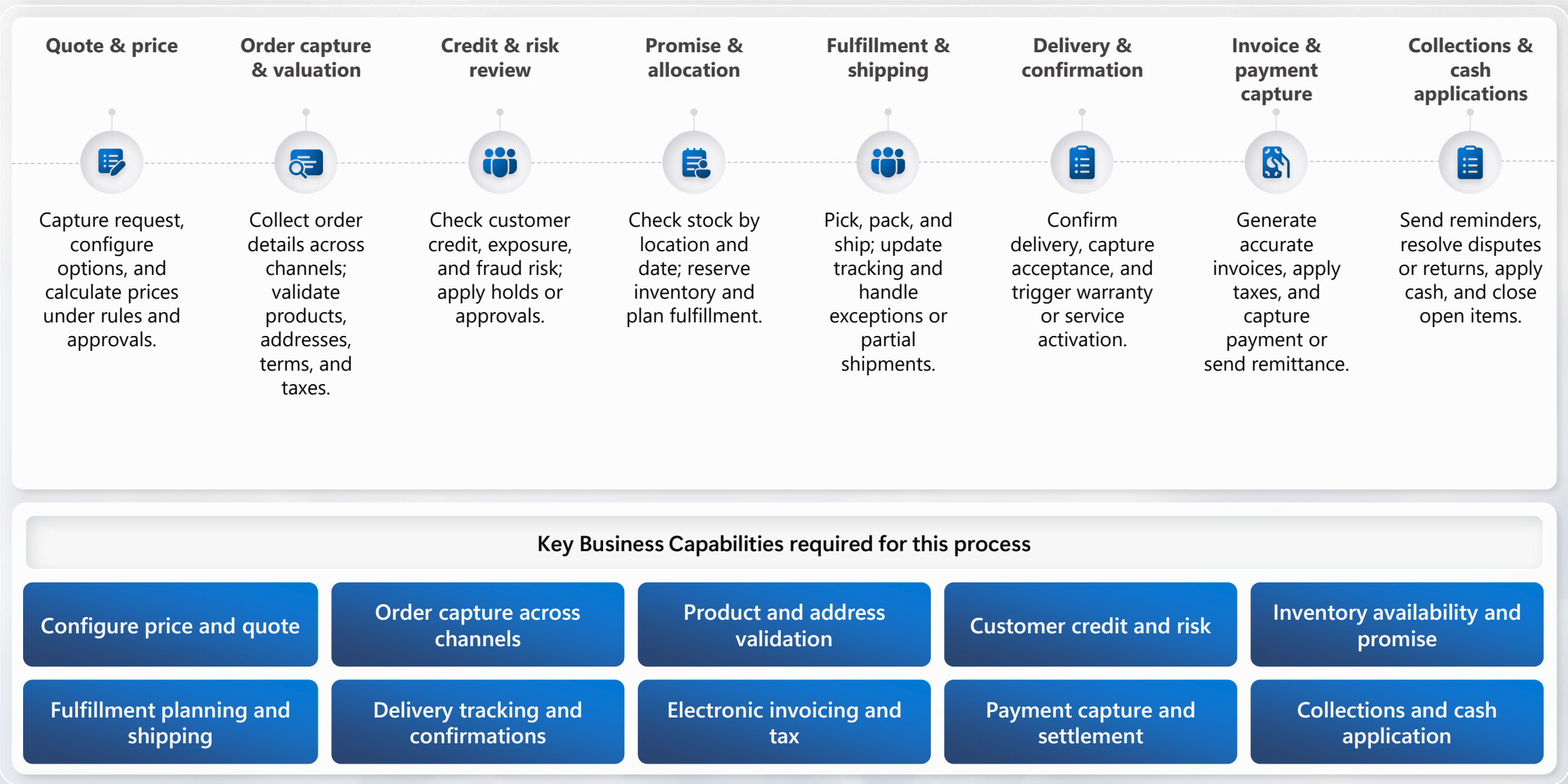
Data to integrate

- Product and service catalog with configuration, pricing, discount, and approval rules
- Customer, contract, credit, tax, address, and shipping data
- Inventory by location, fulfillment events, invoices, disputes, and comms history

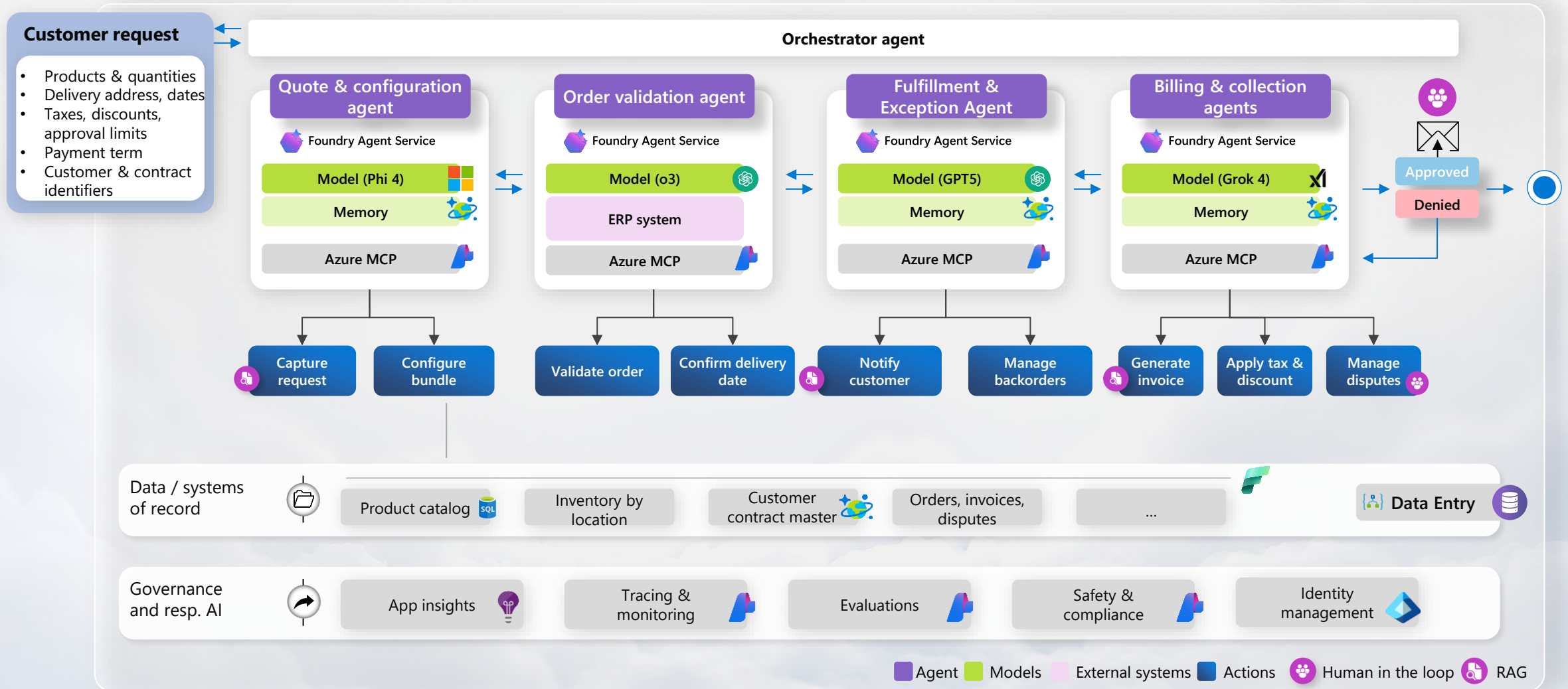
Technical patterns

- Event-driven orchestration across quote, order, fulfillment, invoice, and cash with human-in-the-loop and auditable traces.
- Retrieval over product, pricing, and policy content with tool use into order and billing systems (create, validate, price, invoice).

2. What does the Order-to-Cash process look like?



1. Example Agentic Order-to-Cash process



Order Intake (Order to Cash)

Multi-national consumer goods customer

Customer background

The client is a global leader in the consumer goods industry, with a broad portfolio of household and personal care brands sold across diverse markets. Operating at scale with a complex supply chain and high-volume order flow, the company is continuously looking to modernize core processes to stay ahead in a competitive landscape.

Business objectives

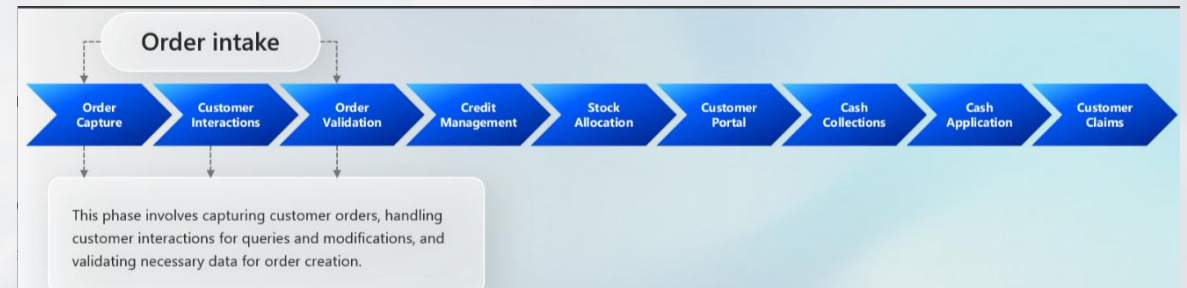
- **Reduce** time spent on manual order validation
- **Improve** customer experience
- **Decrease** order intake turn around time
- **Provide** upsell and cross-sell opportunities
- **Increased** downstream accuracy



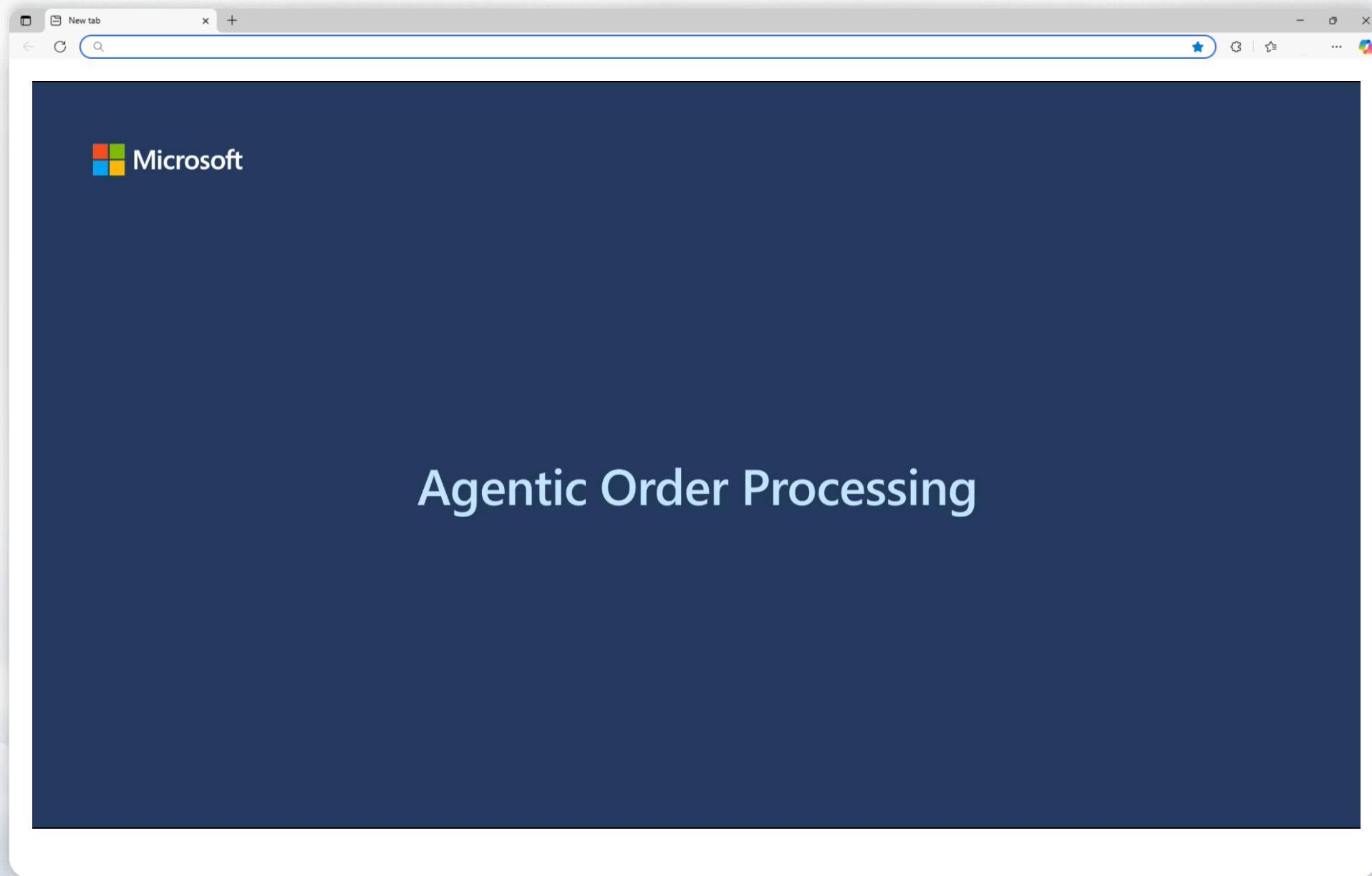
Use case

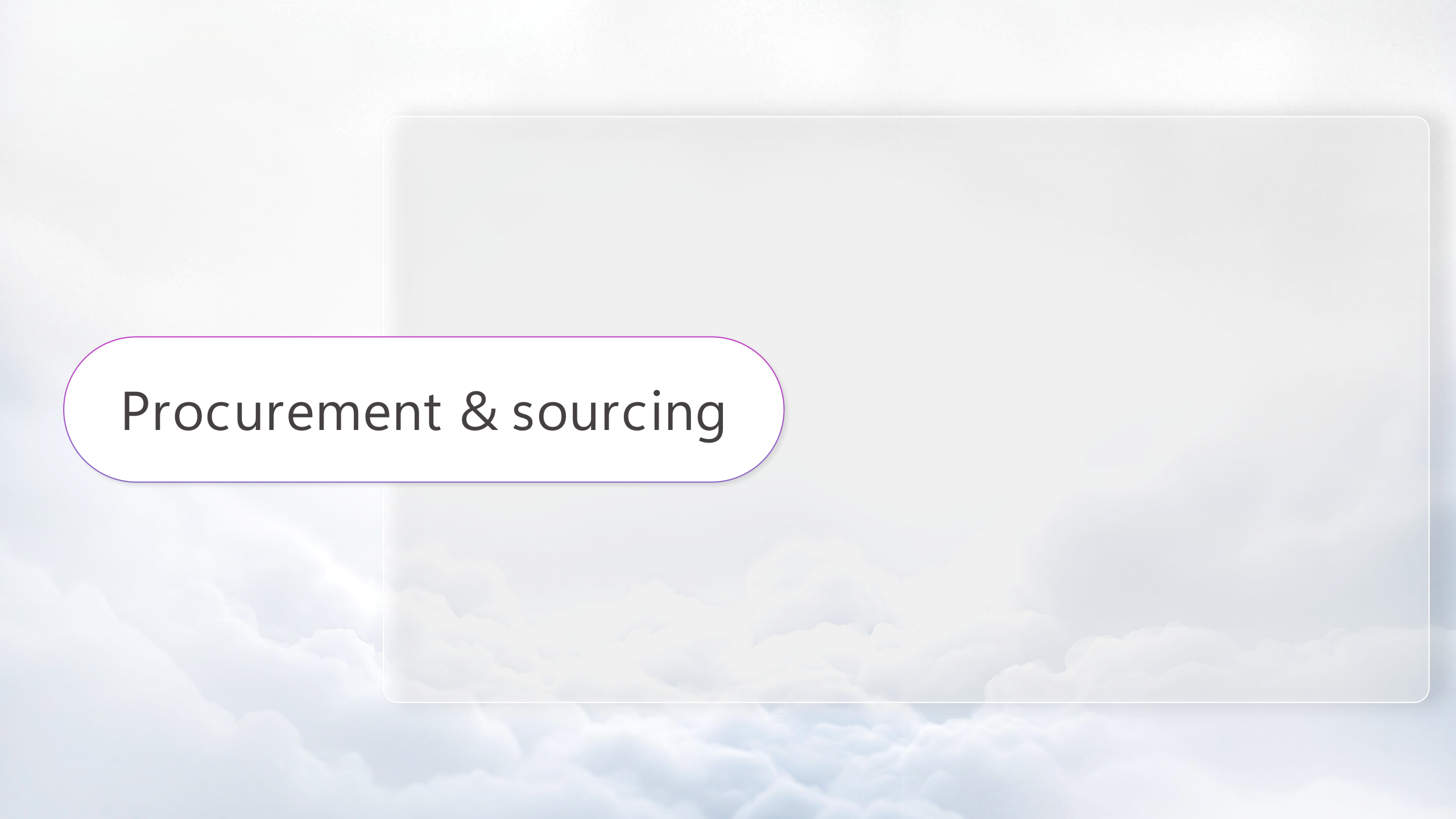
As part of its commitment to innovation and customer-centric operations, the organization is exploring new ways to digitize and streamline its SAP Order to Cash process to drive greater efficiency, agility, and business value.

To accomplish these objectives, Microsoft automated order validation, accelerated order intake, and enhanced data-driven decision-making to improve operational efficiency and customer satisfaction.



Agentic Order Processing Video





Procurement & sourcing

2. Procurement & Sourcing

Procurement and sourcing automate the path from demand intake to awarded supplier. The flow structures requirements, drafts sourcing events, screens supplier risk, evaluates bids with transparent scoring, and hands off contracts—shortening cycles, improving compliance, and increasing savings capture.

What - Process overview



Current challenges

- Requests arrive unstructured across email and forms; category rules are applied inconsistently.
- Sourcing packages are recreated from scratch; templates, clauses, and scoring differ by team.
- Supplier checks (financial, sanctions, certifications) are manual and late in the process.
- Bid comparisons mix formats and currencies; total cost is unclear, and negotiables are missed.
- Hand-offs to contracts and onboarding lose terms and metadata; compliance is hard to audit.



Frontier solution

Process description

- Capture demand and normalize requirements; recommend catalog buy, contract buy, or new sourcing event.
- Draft the package from templates (scope, service levels, questionnaires, scoring, terms) and invite suppliers.
- Screen supplier risk and compliance; request missing evidence and clarify responses.
- Structure bids, compare total cost and non-price factors; run what-ifs and negotiate.
- Recommend award with rationale; hand off to contract creation and supplier onboarding.
- Update catalogs and price lists; track performance and feed learnings into the next event.

Solution description

Agents collaborate via events, share context, and hand off to humans for final sign-off:

- **Demand & Intake Agent:** Structures requests, classifies categories, and proposes the right sourcing path with required documents
- **Event Drafting & Q&A Agent:** Builds sourcing package from templates and policies, manages questions, and tracks changes
- **Supplier Risk & Compliance Agent:** Screens suppliers (financial health, certifications), enforces requirements, and collects evidence
- **Bid Evaluation & Award Agent:** Normalizes bids, scores price and non-price factors, runs cost scenarios, proposes negotiation points
- **Contract handoff & onboarding:** Creates contracts, routes for e-sign and onboards suppliers

Why – Impact¹



Business Outcomes²

Cost savings:

- About 30–50% faster cycle time from request to award through templates, automation, and guided reviews.
- About 5–10% higher realized savings by improving competition, total-cost analysis, and leakage prevention.

Growth

- Spend under management increases by about 10–20% with easier intake and standardized events.
- Earlier risk detection reduces supplier incidents and rework (often 20–40% fewer escalations).



Roles addressed

- Procurement operations and category management leaders.
- Sourcing and supplier management leads.

How – Underlying foundation¹

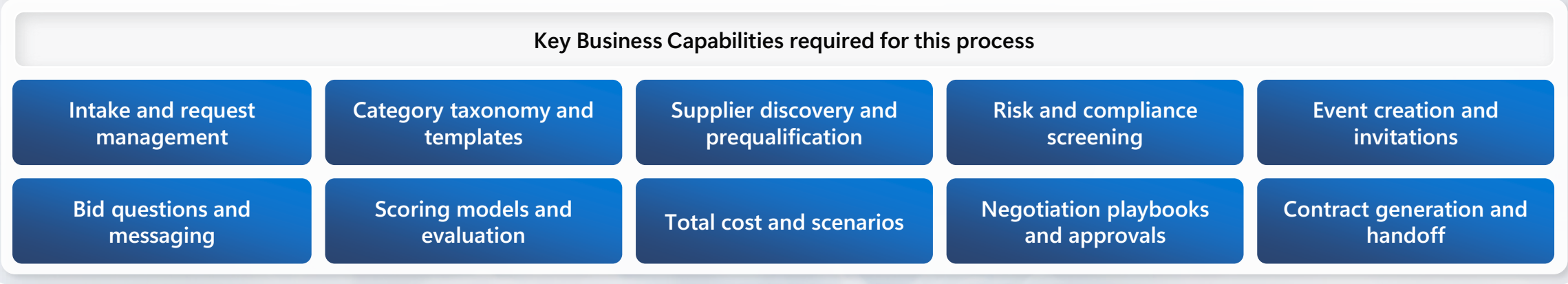
Data to integrate

- Historical spend, prices, and purchase requests by category.
- Supplier master data, risk and performance sources, certifications, and compliance evidence.
- Policies, templates, contracts, catalogs, and sourcing event data (e.g., bids)

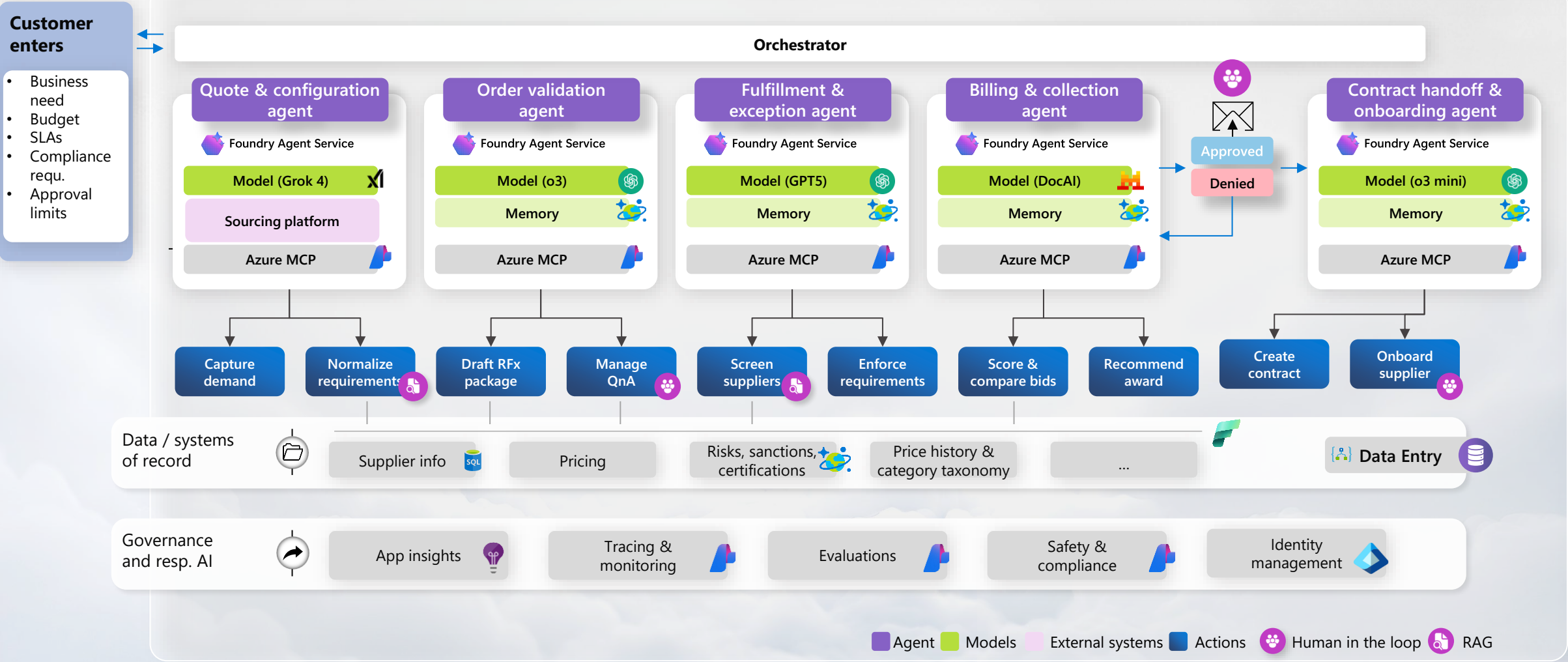
Technical patterns

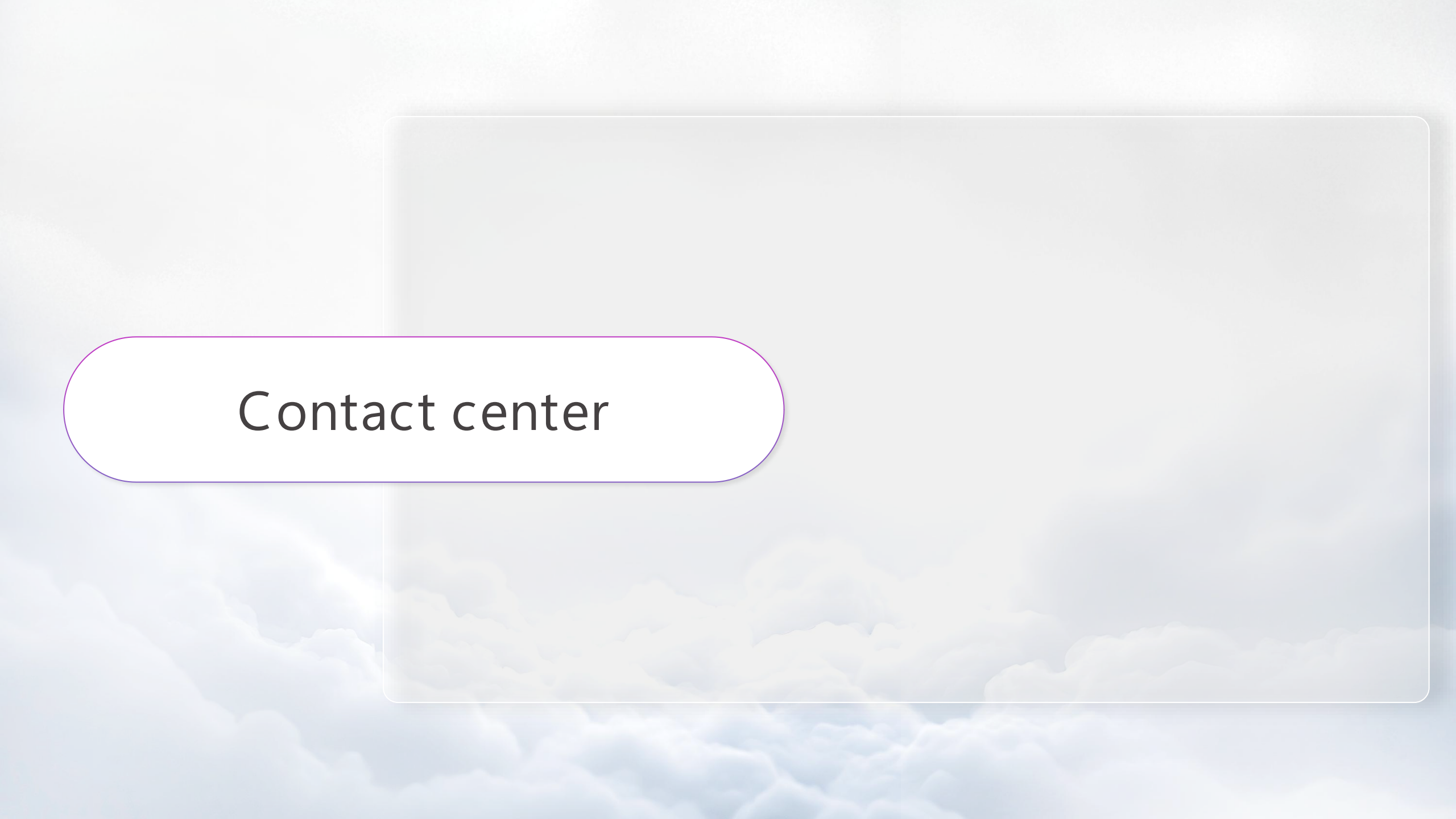
- Retrieval over policies, templates, contracts, and prior events with tool use into sourcing and contract systems (create, score, award).
- Event-driven orchestration for intake, risk screening, evaluations, approvals, and handoffs, with human-in-the-loop and auditable traces.

3. What does the procurement & sourcing process look like?



2. Example agentic procurement & sourcing





Contact center

4. Contact center

The contact center is the customer's front door for sales and service across phone, chat, messaging, and branches. Each interaction must quickly authenticate the customer, resolve the request, and document outcomes for audit while protecting privacy and preventing fraud. If escalation is needed, work is handed off with full context to back-office teams; customers receive clear next steps and confirmations.

What - Process overview



Current challenges

- Fragmented channels and knowledge bases; agents search multiple systems and put customers on hold
- Long handle times from manual authentication, note taking, and wrap-up; inconsistent dispositions
- Limited self-service containment; IVR/chatbots miss intent and escalate too late
- Inconsistent guidance leads to variable CX, re-contacts, and compliance risk in regulated conversations
- Weak feedback loops from QA/compliance and post-interaction outcomes; hard to improve policies and training



Frontier solution

Process description

- CCaaS (e.g., Dynamics, Genesys) stays system of engagement for routing, IVR, desktop, wrap-ups, QA/WFM, surveys
- Azure agents only listen to events and request actions via CCaaS/CRM APIs
- After the call/chat: draft summary + wrap-up suggestion - agent confirms in CCaaS
- Propose CRM/case updates, follow-ups, callbacks; submit via existing connectors
- Draft tickets/orders/refunds for back office; sync status to CRM/CCaaS
- Compliance/QA checks transcripts; post coaching items to CCaaS QA/WEM
- Knowledge curation: turn resolutions into KB drafts; flag gaps for owners

Solution description

Agents collaborate via events, share context, and hand off to humans for final sign-off:

- **Integration & events agent:** Subscribes to CCaaS events, packages context, and requests CCaaS/CRM actions
- **Agent-assist & action agent:** In-call guidance and tools, after-call drafts tasks/cases/orders/callbacks and monitors SLAs; post-resolution actions (for up-/cross-selling)
- **Summarization & disposition agent:** Auto-drafts notes and wrap-up code suggestions, agent reviews/commits in CCaaS, posts confirmations to CRM/case
- **Compliance & knowledge agent:** Checks consent/disclosures, pushes coaching to CCaaS QA/WEM, and turns recurring fixes into KB drafts for approval

Why – Impact¹



Business Outcomes²

Cost savings:

- 8–18% lower AHT from in-call guidance + auto-summary/wrap-up
- 25–50% less After Call Work (ACW) effort via transcript-based notes, dispositions, and coaching

Growth

- 5–10% fewer repeat contacts - capacity lift without extra seats
- +1–3pp service-to-sales conversion from next-best-action; +3–6pt NPS/CSAT from faster, consistent outcomes



Roles addressed

- Contact center agents
- QA/compliance and risk reviewers

How – Underlying foundation¹

Data to integrate

- Telephony/ACD/IVR events, call audio and live transcripts; chat/messaging conversations and metadata
- CRM/customer profile, products, accounts, transactions, and consents
- Knowledge bases, procedures, rates/fees, disclosures, and eligibility rules

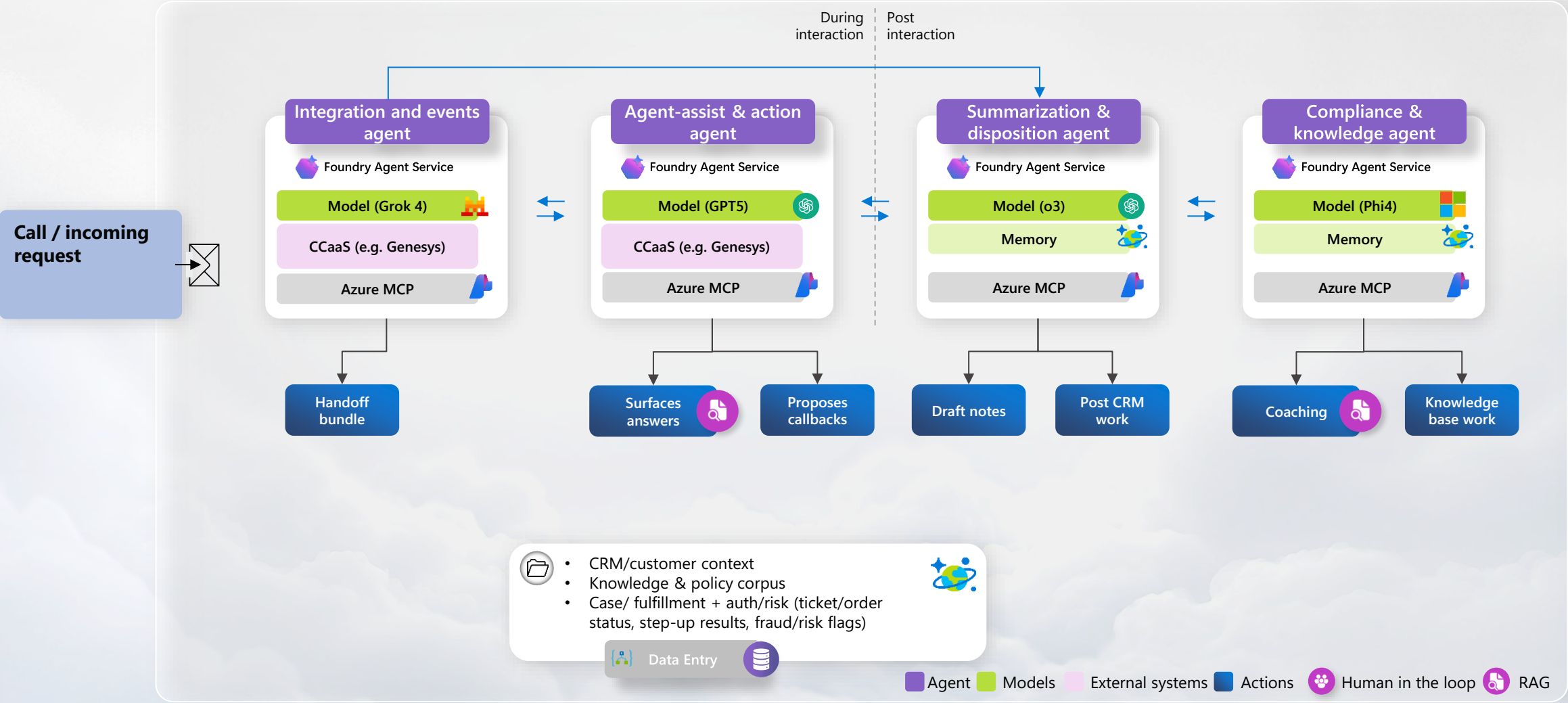
Technical patterns

- Streaming STT + intent/sentiment/topic detection; real-time agent assist with tool-use into CRM/core systems
- RAG over policies, procedures, and KB with citations; prompt/response grounding and PII redaction

4. What does the contact center process look like?



4. Example of Agentic Call Center Operations in Banking



Contract-Lifecycle-Mgmt

4. Contract lifecycle management

Contract lifecycle management streamlines work from request to renewal. It drafts from templates, extracts and compares clauses, scores risk, proposes redlines, routes reviews, collects electronic signatures, and tracks obligations—shortening cycle time, reducing risk, and improving compliance and revenue realization.

What - Process overview



Current challenges

- Requests and drafts arrive in different formats; version control and ownership are unclear.
- Clause libraries and templates are underused; language varies by team and region.
- Risk reviews are manual and late; approvals and escalations stall in inboxes.
- Comparing third-party paper is slow; deviations and missing obligations go unnoticed.
- Obligations after signature are not tracked; renewals and price changes are missed.



Frontier solution

Process description

- Capture request with counterparty, purpose, commercial terms, and required deadlines.
- Draft from the correct template and clause playbook; auto-fill known data.
- Ingest third-party drafts; extract clauses and compare to standards with deviations flagged.
- Score risk; propose redlines and fallbacks; route for legal and business review.
- Capture approvals, collect electronic signatures, and store final versions with metadata.
- Create obligation records; monitor milestones, renewals, and amendments; notify owners.

Solution description

Agents collaborate via events, share context, and hand off to humans for final sign-off:

- **Intake & Drafting Agent:** Structures the request, selects the right template, inserts approved clauses, and auto-fills fields
- **Clause Extraction & Risk Agent:** Extracts and classifies clauses from any draft, compares to standards, scores risk, and proposes fallbacks
- **Review & Negotiation Agent:** Tracks versions, explains deviations, gathers evidence, and routes to the right reviewers
- **Signature & Repository Agent:** Orchestrates approvals, manages signatures, stores signed copies with metadata
- **Obligation & Renewal Agent:** Creates obligation records, monitors milestones and SLAs, triggers renewals or adjustments

Why – Impact¹



Business Outcomes²

Cost savings:

- About 30–50% faster cycle time from request to signature through automation and guided reviews.
- Outside counsel and rework reduced by about 15–30% with standard language and early risk detection.

Growth

- Fewer missed renewals and price changes; revenue leakage reduced by about 2–5%.
- Lower risk of penalties through tracked obligations and consistent regulatory language.



Roles addressed

- Legal operations leaders and commercial counsel.
- Procurement or sales operations leaders.

How – Underlying foundation¹

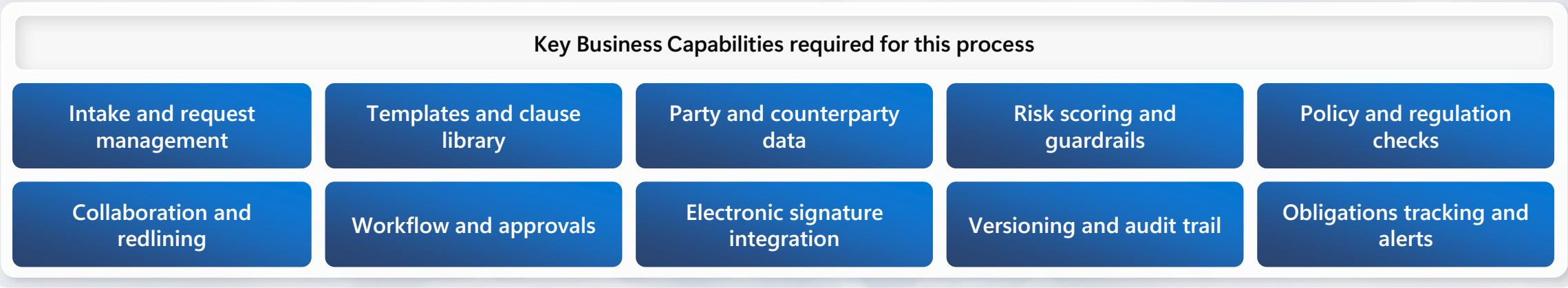
Data to integrate

- Contract repository, templates, clause library, and approval playbooks
- Counterparty, product, pricing, and order data from sales and procurement systems
- Policy, regulatory, and risk sources, incl. past negotiations and obligation records

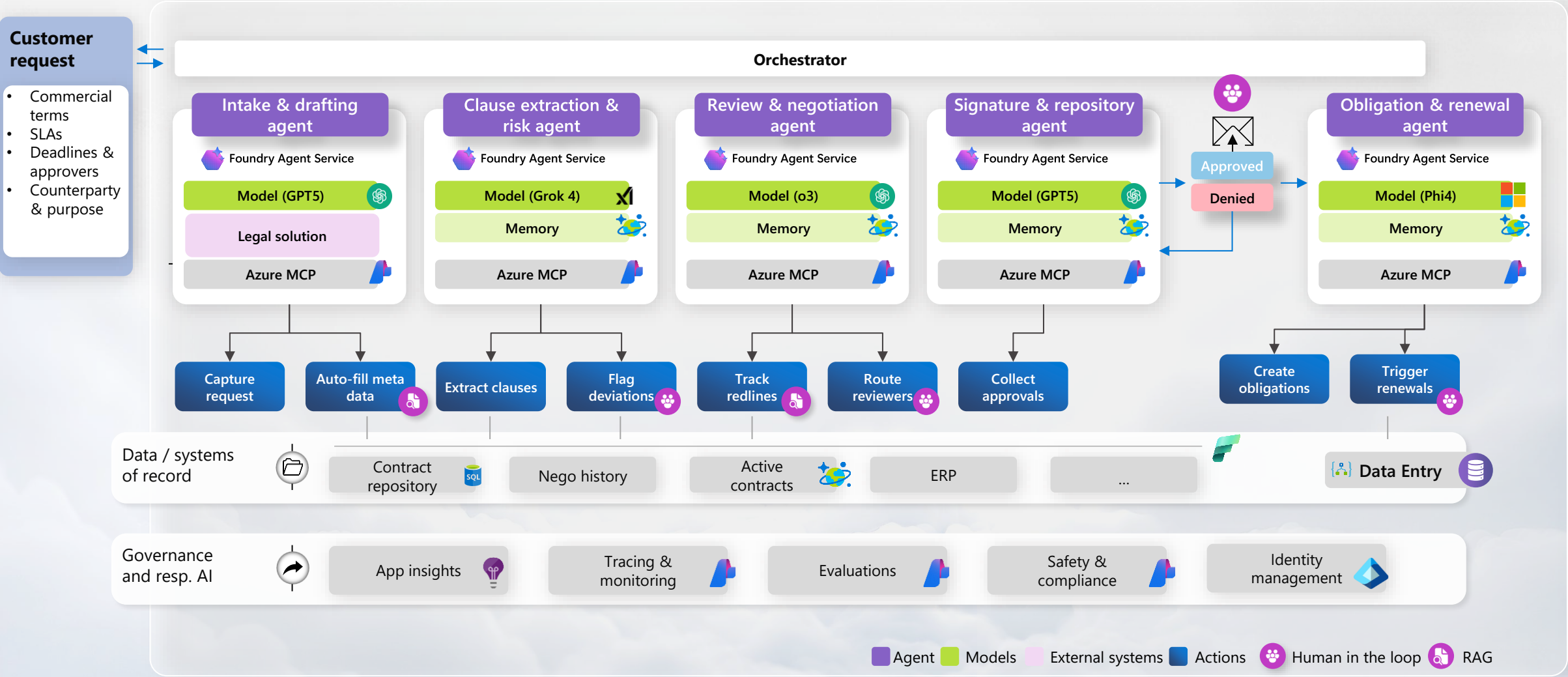
Technical patterns

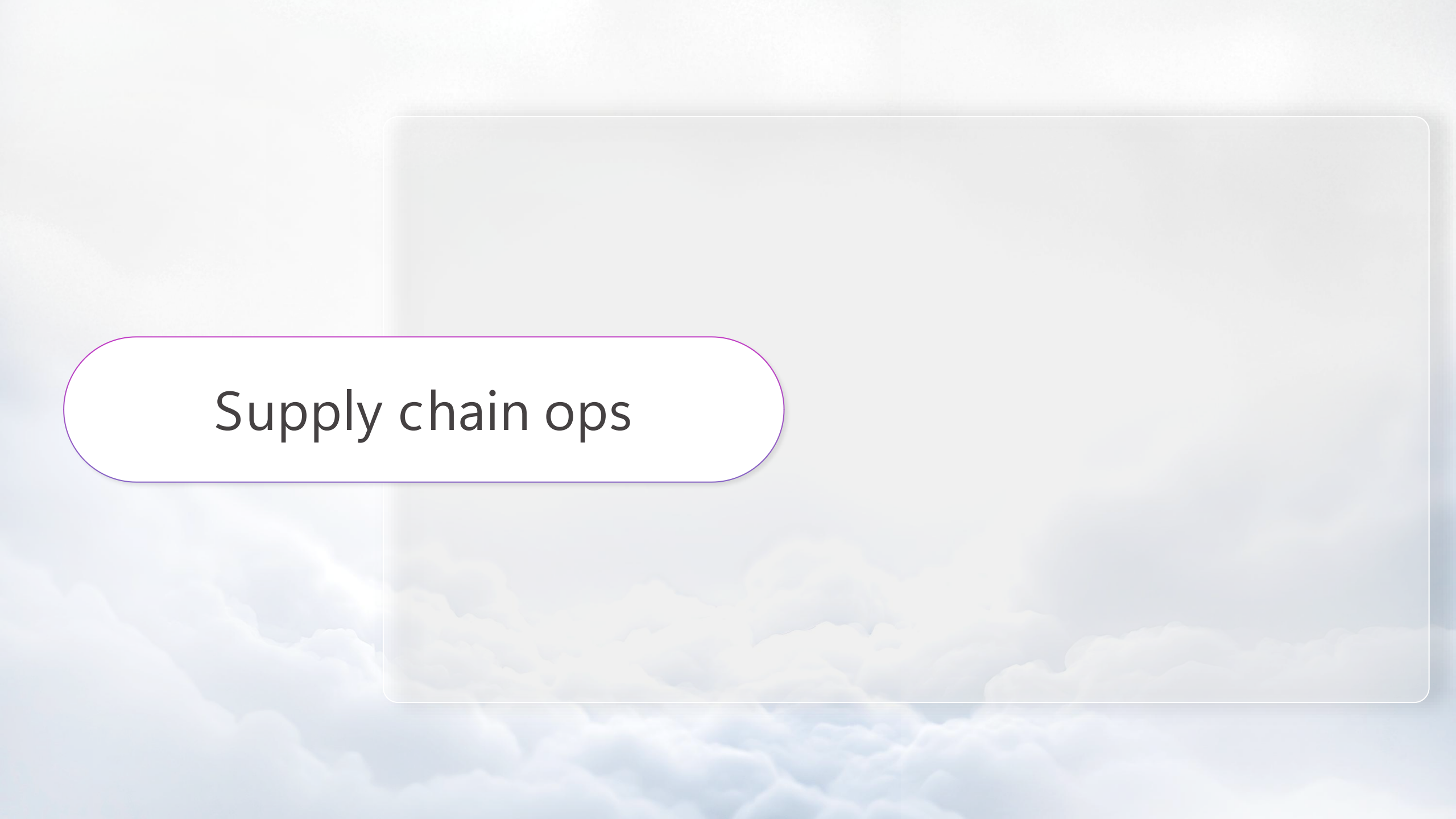
- Retrieval-augmented clause extraction and drafting with tool use into contract editors and signature systems (create, compare, redline, sign)
- Event-driven orchestration for reviews, approvals, signatures, and obligation tracking with human-in-the-loop and auditable traces

4. What does the contract lifecycle process look like?



4. Example agentic contract lifecycle management





Supply chain ops

Supply chain operations

Supply chain operations coordinate demand, supply, inventory, and logistics from plan to delivery. The goal is to meet service levels at the lowest total cost by forecasting demand, aligning capacity, placing replenishment, and steering fulfillment. Agentic operations shorten decision cycles, reduce fire-fighting, and keep promises to customers while lowering working capital.

What - Process overview



Current challenges

- Forecasts are late and siloed; promotions and external signals are not reflected quickly
- Inventory targets are static; safety stocks, lead times, and reorder points drift from reality
- Exceptions (delays, shortages, quality holds) are handled in emails and spreadsheets with poor visibility
- Delivery promises break when capacity or transportation changes; customer updates are inconsistent
- Root causes are unclear; lessons are not fed back into plans or contracts



Frontier solution

Process description

- Capture demand signals and create a consensus plan; align with production and supplier capacity
- Set dynamic inventory targets and replenishment rules by location and item
- Generate purchase orders and work orders; schedule production and transportation.
- Monitor events in real time (supplier delay, yield drop, weather, port congestion) and simulate options
- Resolve exceptions with guided playbooks; update delivery promise and notify stakeholders
- Learn from outcomes to adjust policies, parameters, and suppliers

Solution description

Agents collaborate via events, share context, and hand off to humans for final sign-off:

- **Demand & Promotions Agent:** Ingests orders, point-of-sale, and marketing events; produces updated forecasts with explanations
- **Supply & Capacity Agent:** Balances demand with internal and supplier capacity; proposes allocation and build schedules
- **Inventory & Replenishment Agent:** Sets safety stock, reorder points, and lot sizes; creates replenishment proposals
- **Fulfillment & Exception Agent:** Tracks orders and shipments; detects risks; suggests substitutions, expedites, or re-plans
- **Logistics & Promise Agent:** Calculates available-to-promise by location; selects carriers and routes; confirms delivery dates

Why – Impact¹



Business Outcomes²

Cost savings:

- Working capital reduced by 10–20% through lower safety stock and faster turns
- Expedite, premium freight, and rework costs cut by 20–30% via earlier detection and guided resolution

Growth

- Service level increase of 2–5 percentage points from reliable delivery promises.
- Revenue loss from stockouts reduced by 15–30% through proactive substitutions and allocation



Roles addressed

- Supply chain planning leader
- Logistics and fulfillment leader

How – Underlying foundation¹

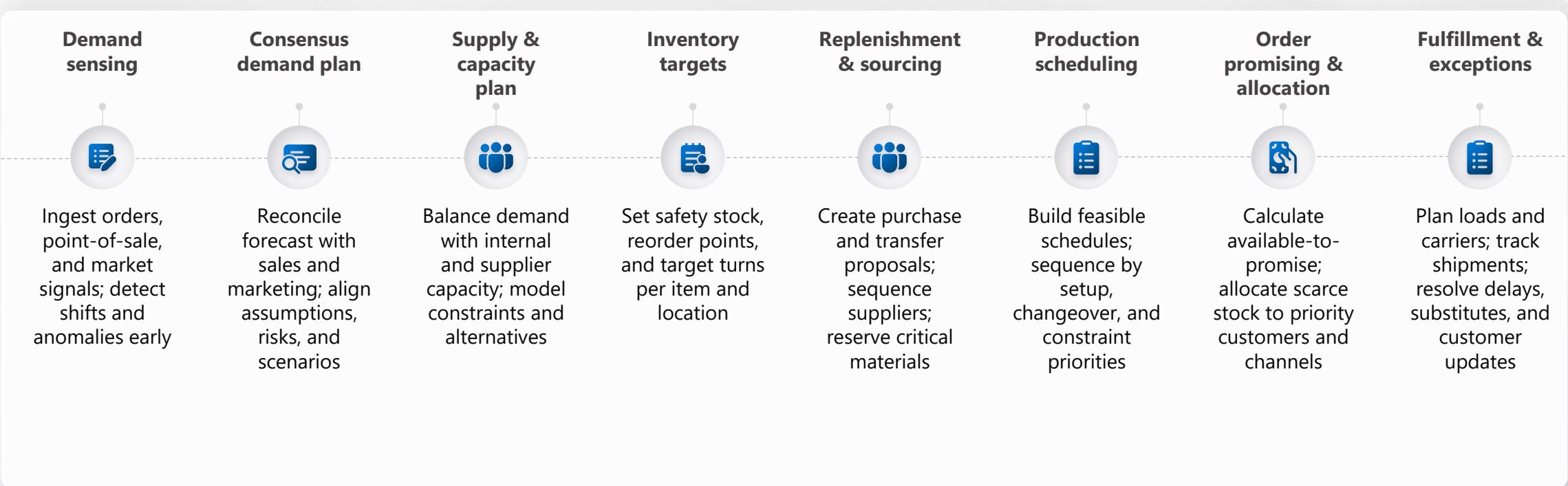
Data to integrate

- Demand signals: orders, point-of-sale, marketing calendars, and returns history
- Inventory, bills of materials, capacities, and lead times by site and supplier
- Logistics events and costs: carrier schedules, tracking, and constraints

Technical patterns

- Event-driven orchestration across plan–source–make–deliver with human-in-the-loop and auditable traces
- Forecasting, optimization, and simulation with retrieval over policies and playbooks, and tool-use into planning and order systems

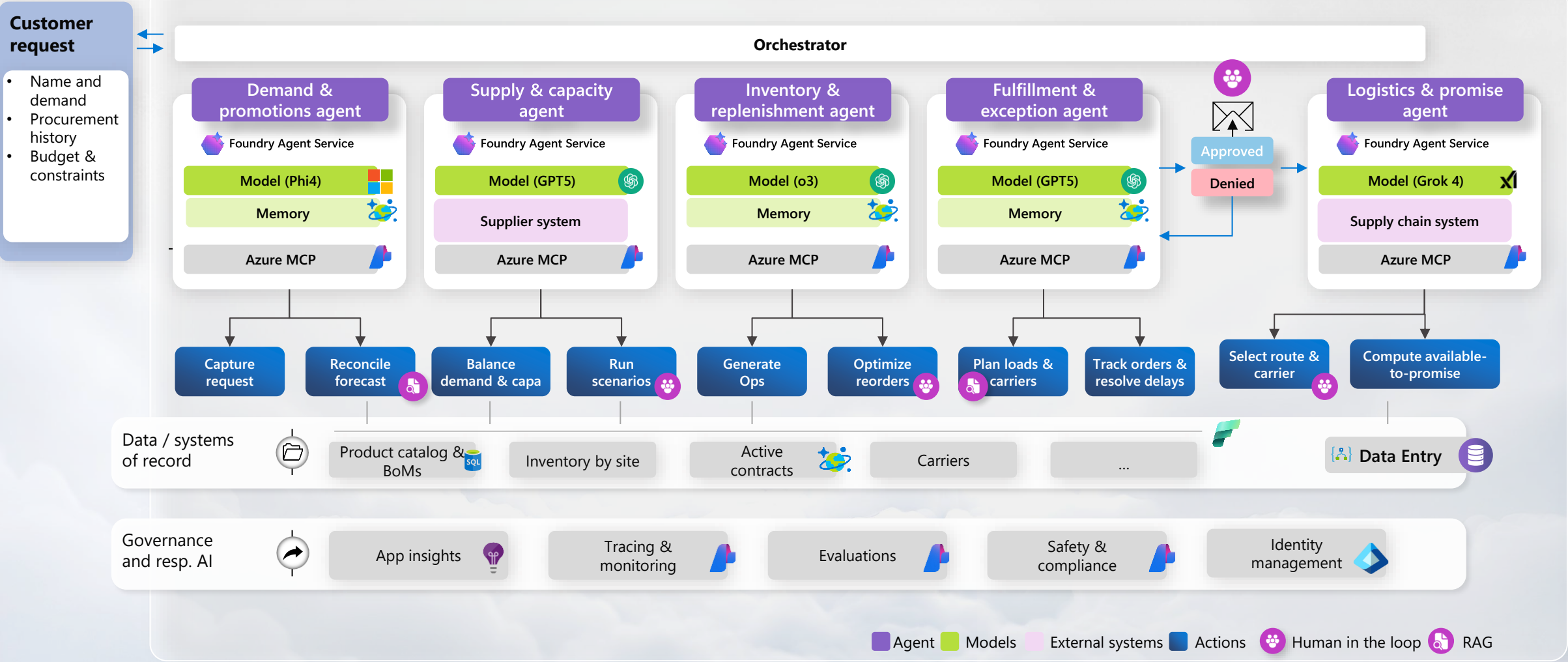
5. What does the supply chain operations process look like?

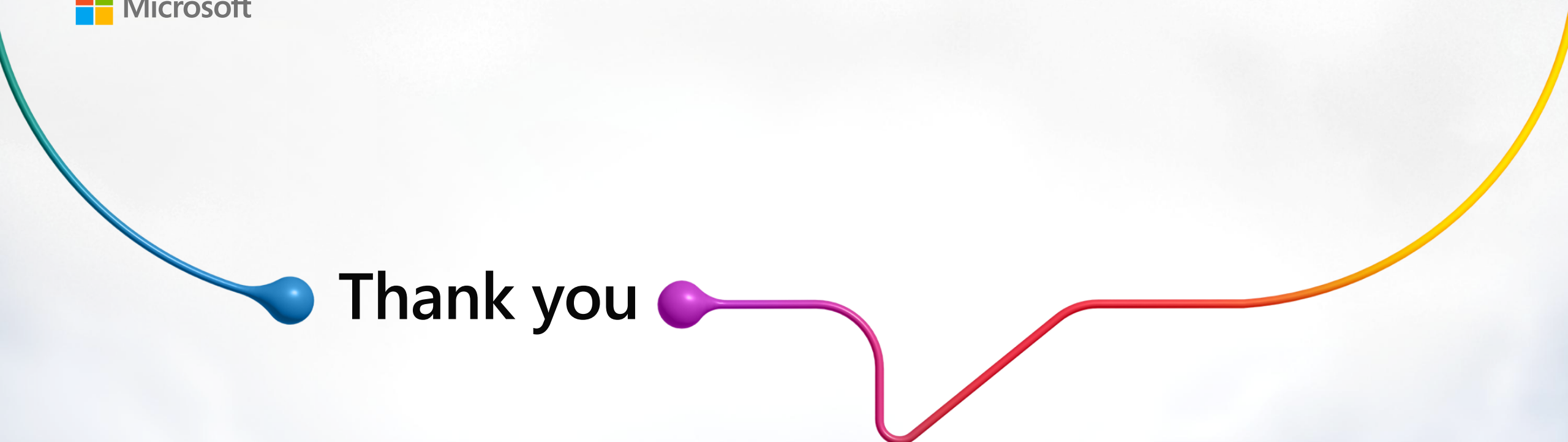


Key Business Capabilities required for this process

Demand sensing and forecasting	Promotion and event intake	Capacity and constraint modeling	Inventory policy optimization	Replenishment and order planning
Production scheduling and sequencing	Available-to-promise calculations	Transportation planning and routing	Supplier collaboration and portals	Exception detection and workflows

5. Example agentic supply chain management



A decorative line with spheres. It starts as a blue curve on the left, passes through a blue sphere, then continues as a purple line through a purple sphere, dips down, rises as a red line, and finally curves upwards as a yellow line on the right.

Thank you